

Hertz Global Holdings: movements worth a closer look

FY2009 to FY2013 and Q4 FY2013. USD millions, as first reported; Q4 columns from the FY2013 results release. These are things to check, not findings.

Measure	FY09	FY10	FY11	FY12	FY13	Q4 FY12	Q4 FY13	Industry
Working capital								
Days sales outstanding		65.5	71.1	76.5	51.3	74.8	54.4	
Days inventory		5.2	4.7	5.6	4.1	5.4	4.1	
Days payable		56.6	50.6	52.7	42.7	50.8	42.8	
Receivables growth – revenue growth (pts)			+9.4	+8.0	–39.2	+1.6	–30.0	
Inventory growth – cost growth (pts)			–9.1	+18.5	–31.9	+12.0	–27.9	
Payables growth – cost growth (pts)			–11.2	+4.0	–22.3	–2.6	–18.3	
Allowance, % of gross receivables		1.4	1.2	1.3	2.0	1.3	2.0	
Earnings and cash								
Gross margin, %	15.2	18.7	22.0	23.0	23.2	22.1	18.5	
Operating margin, %	6.2	9.9	13.0	12.5	13.7	7.8	9.9	5.9
Accruals, % of average assets			–11.6	–12.1	–13.5	–3.0	–3.0	
Free cash flow	172	1,107	348	–83	242	918	1,313	
Net income	–115	–31	196	243	346	–37	–1	
Depreciation rate, rental equipment, %			16.2	15.3	14.2			
Depreciation rate, property, %			7.6	7.3	7.9			
M-score			–2.93	–2.72	–3.24			
Levels against the industry								
Receivables, % of sales		17.9	19.5	20.9	14.0			11.5
Inventory, % of sales		1.2	1.0	1.2	0.9			0.5
Payables, % of sales		12.6	10.8	11.1	9.0			4.5
Capital spending ÷ depreciation		0.58	0.91	1.20	1.28			1.4

Cost line: Direct operating plus Depreciation of revenue earning equipment and lease charges. **Substitutes:** capital spending is fleet purchases net of disposal proceeds plus property expenditures (the Q4 columns use the release's property spending net of disposals); property depreciation comes from the segment note over total property at cost, land included; the M-score uses cash, receivables, inventories and prepaid assets as current assets, and debt, payables, accrued liabilities and accrued taxes for leverage. The industry column is Transportation, the nearest bucket, not rental.

Flags, largest first (size against FY13 pre-tax income of \$663.1m)

- Receivables fell 19.8% while revenue rose 19.4%, taking days sales outstanding from 76.5 to 51.3 (FY12 to FY13); the cash flow supplement shows fleet-sale receivables down from \$617m to \$357m.
Size 113%: \$746m, receivables at FY12 days less the balance. One year, after two years of rising days; they are still 14.0% of sales against the industry's 11.5%.
- Payables fell 3.1% while costs rose 19.2%, taking days payable from 52.7 to 42.7 (FY12 to FY13); the Dollar Thrifty acquisition (November 2012, part of \$1,905m of acquisition spending) put a full balance against six weeks of costs in the FY12 base.
Size 34%: \$226m, payables at FY12 days less the balance. One year, two same-quarter comparisons; they are still 9.0% of sales against the industry's 4.5%.
- The rental equipment depreciation rate fell from 16.2% to 15.3% to 14.2% (FY11 to FY13); Note 8 reports depreciation rate reductions on U.S. rental cars in each year.
Size 26%: \$175m, the charge not taken at the FY12 rate on average gross rental equipment of \$16,900m. Two consecutive years.
- Net income exceeded free cash flow in FY13 (\$346m against \$242m) and FY12 (\$243m against –\$83m); net fleet spending rose from \$2,488m to \$3,034m after the Dollar Thrifty acquisition.
Size 16%: \$105m, net income less free cash flow. Two consecutive years, with the gap narrowing from \$326m.
- Q4 gross margin fell from 22.1% to 18.5% (Q4 FY12 to Q4 FY13) while the full-year margin was flat; Note 8 shows the full-year adjustment on fleet disposals swinging from a \$97m gain to a \$37m loss.
Size 14%: \$90m, the 3.5-point fall times Q4 revenue of \$2,556m. One same-quarter comparison; the margin rose the year before.

Revised figures: The FY2013 annual report, describing them as corrections of errors, cut pre-tax income by \$18.7m for FY11 (324.3 to 305.6) and \$9.1m for FY12 (450.5 to 441.4), net income by \$11.9m and \$4.5m, and equity at 31 December 2012 by \$21.1m (2,507.3 to 2,486.2).

Not calculated: FY09 balance-sheet measures and the FY10 growth gaps, accruals, depreciation rates and M-score (the balance sheets start at FY10); quarterly depreciation rates and M-score (Note 8 is annual); a property rate excluding land and construction in progress (not disclosed separately); the industry sheet has no gross margin or range.